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Micron Cycle Watch: Pre-Q3 Outlook

With $MU hitting ATHs today, at ~$474 a share at the time of writing this, let's take a look at the potential paths, and regard the expected value.

Firstly however, let's reference the prior recommendation at $377. From that point the upside price target was $590 with a downside target of $220. An expected return of $1.56, or 56% for every dollar invested on the upside, and a return of $0.58 for every dollar invested or -42% on the downside. A reward to risk ratio of 1.33 The stock has returned 25% since then.

@InvestsCletus asked me for a probabilistic outcome prior to Q1 earnings.

As @SemiAnalysis mentioned, it's about putting puzzle pieces together. Without extensive research, but through the lens of sentiment and headlines, I have yet to see thesis breaking announcements or catalysts.

Nor have I seen any talk of faltered demand, steep price decreases, or supply glut (although there have been whispers from China testing HBM3). @insane_analyst @trendforce @zephyr_z9 @jukan05 would love to know if you've seen something different.

So at least for the next quarter we can operate on these assumptions:

- Q3 EPS at $19.25 (guidance), Q4 projections at $22.97 (sell-side consensus via Fidelity)
- Major risk is beta risk
- No major industry headwinds in the short term.

At **T= Q3** 06/23/26 with an TTM EPS of $39.26: we can assign P/Es as follows:

- 6x contraction = $235 a share
- 15x continued growth rate = $585
- 20x continued growth with visibility = $785 a share.
    - Equal weighted expected value = $535

At **T= Q4** 09/21/26 with an TTM EPS of $59.2: we can assign P/Es as follows:

- 6x contraction = $355 a share
- 15x continued growth rate = $885
- 20x continued growth with visibility = $1,180 a share.
    - Equal weighted expected value = $800

Now, on assigning probabilities, we stand by our original analysis, and the guidance as there seemingly have not been thesis breaking announcements.

Moreover, having read a passage today from @nntaleb Antifragile, he talks about focusing on the fragility (the consequences) rather than the suspected probability.

"Vous prenez principalement vos décisions en fonction de la fragilité non de la probabilité"
- AntiFragile

That is the reason for equal weighting, because those are scenarios I believe are all possible, regardless of the probabilities.

In the next two months, the consequences of $MU, based on projected earnings, and equally weighted possibility for earnings multiples is $535, a 12% positive expected value relative to the current price of $475 today 04/22/26.

Moreover, let's look at five months from today 04/22/26 until 09/21/26, the date of Q4 earnings. Our equal weighted (since we are focusing on consequence not confidence) scenario analysis would suggest the expected value of $MU ((335 + 885 + 1180) / 3) is $800 per share, giving us an upside of 68% relative to the stock today.

Of course, earnings have to meet the guidance, which as I outlined in my prior writeup they have only missed earnings twice in ten years. The last was Q1 2023, in a period of market contraction and supply glut commencement. Q4 2022, in the earnings call, they stated "Turning to our supply: **Given the change in market conditions**, we have been taking immediate action to **reduce our supply growth trajectory and align it to market demand**." The glut was well underway, and the stock actually bottomed then, which supports our thought process that *the market looks quarters ahead.* As Stanley Druckenmiller says "visualize 18 to 24 months from now what the world is going to look like and what securities might trade at." And of course we are looking where the puck is going, not where it is.

The first reported eps growth rate decline was Q1 2022. The stock also peaked then as well. From peak cycle earnings Q4 2021, Micron hit its trough nearly five quarters later after printing its first earnings miss; a contrarian signal that would have worked when looking for a buying opportunity.

Q1 2022	12/20/21	--	2.11 (28 Analysts)	2.16	**+0.05**	2.00 / 2.17	2.12	2.04	2.04
Q4 2021	09/28/21	--	2.33 (24 Analysts)	2.42	**+0.09**	2.27 / 2.52	2.34	2.39	2.39

Source: Fidelity

In the figure above we have the earnings when Micron stock peaked, and the future rate of growth shifted negative. A concept talked about in my old Meta analysis is that the market

thinks in 2nd and 3rd derivatives, (*derivative = rate of change mathematically speaking*) in the rate of change of growth. Even though a company didn't miss earnings, if the rate of growth is down, then that implies a change in the rate which, applied to further derivatives, implies future misses.

On the thought of trend spotting, @JordanNanos, @Chaimeisenberg and @ChipsandWafers on the SemiAnalysis podcast talked about how to approach building structural pictures for these cyclical companies like memory and chips. They specifically said it's about putting the puzzle pieces together because when earnings come out it's too late. With that in mind, bear the possibility that $MU can still fall to $235 a share, a consequence of -50%. That seems like a good rule of thumb at all times for the stock. A drawdown of nearly 50% during cyclical contractions is the historical baseline for this name.

It is our job now to look for puzzle pieces. In Q1 2022 the prior cyclical peak, there was not too much negative language, however, the concluding statement of **Technology and Operations** says "As a result of these agreements, the current tight supply of these components is expected to gradually improve for us throughout calendar 2022." Read those words out loud "**tight supply is expected to improve".** That is a mega counter-thesis for a company / industry whose whole bull narrative is built on supply constraints.

This is an ode to the methods employed by the analysts above, which means, you need to read between the lines. The combination of declining earnings growth and easing of tight supply are two red flags in terms of pricing power and future revenues declines. Hence, the cycle is turning. As an investor in this space, we should imagine ourselves as the captain of the titanic. Watch our sonar for iceberg signals ahead, as opposed to the human eye.

If we want to be ahead of the supply glut, we need to look for signs. On the quarter of peak earnings, Q4 2021, management stated "In the near term, our FQ1 bit **shipments will decline** modestly in both DRAM and NAND from very strong levels in FQ4." The stock sold off nearly 7% after earnings, and then rebounded to peak at nearly $98 a share for that cycle. Any negative sentiment like this is a clear indication of trouble ahead. Looking back to Q3 2021, there didn't seem to be any remarkable signals like the ones stated above. That gives us a heuristic of, **once we see the first demand decline or supply glut language from management, we have one to two quarters MAX until the stock peaks.** Based on that cycle it would be seven or eight quarters from that note in earnings until trough. Near trough we should look for language that reads something like *we have too much product and not enough demand.* That's what I hear when Sanjay Mehrotra says *"***Given the change in market conditions**, we have been taking immediate action to **reduce our supply growth trajectory and align it to market demand"** Q4 2022. When I look at the stock at that point in time, and read that statement, it sounds like an admission that *no one wants our stock because we and the industry are way over-supplied.*

Anecdotally speaking, and if you look at the chart below. It seems that during every cycle, the stock runs up prior to earnings, and sells off nearly 7% every time. The market assesses

whether that sell off is warranted, then it decides the appropriate path. It takes some chips off the table, de-risking based on the obvious history, and price discovery occurs after earnings facts get baked in.

Micron Chart 2020 - 2023 with Quarterly Earnings

Source: Fidelity

On the theme of supply glut spotting today, Reuters reported that 'Micron pushes US Congress to crack down on chip tool sales to Chinese rivals'. Additionally SemiAnalysis urges investors to "**track China pricing vs. volume closely**. It's the cleanest early warning for when $YMTC and $CXMT may actually start to ramp supply, and **the first signal that market conditions could shift**. Check it out here:" Finally, anyone investing in this space should know HBM is the game changer, and the order is HBM3, HBM3e, HBM4, HBM4e and HBM5. @jukan05 posted that "China is already mass-producing HBM3.". These are definitely clear signals to watch.

Le Shrub put me on to "Capital Cycles" by Edward Chancellor. The more I look historically, the more this game seems to be one of spotting the cyclical shift. Not if, but when, regardless of what AI HBM LTA superbulls say. Honestly if we have two simple tropes to keep in mind they are **heed caution at peak earnings** and **language suggesting loosening supply indicates gluts ahead and downturns for the stock.**

Based on the most recent earnings call, there doesn't seem to be any immediate language that should yield caution. The language is consistent "We expect Micron DRAM and NAND supply to grow approximately in line with the industry in calendar 2026". However, the most significant indicator I could find was in the 10Q **Note 14. Revenue and Customer Contract Liabilities** which sheds light on the cycle change narrative whose bull story premise is *guaranteed future cash flows for three to five years due to contracts that lock today's high prices and volumes.*

“Substantially all contracts with our customers are short-term in duration at fixed, negotiated prices with payment generally due shortly after delivery. From time to time, we have contracts with initial terms that include performance obligations that extend beyond one year. As of February 26, 2026 and August 28, 2025, our future performance obligations beyond one year, which included customer prepayments and other contract liabilities, were not material.”

Without concrete terms of volume and pricing on customer agreements, we can’t make any assumptions that the cycle *shape*, *characteristics*, or *length* are changing due to AI. We can assume, because of the substantial revenue already received due to AI demand, that the stock is nearly fairly priced currently. However, until we have further language on legitimate long term agreements, we cannot look further than guidance provided on revenue predictions. This should leave the P/E multiple at a reasonable rating.

Moreover, questioning the earnings narrative of LTAs and SCAs changing the cycle dynamics, Micron’s CEO Sanjay Mehrotra said “These SCAs also provide customers greater certainty to plan their businesses while reinforcing long-term engagement across our broad product portfolio. We are excited to have signed our first five-year SCA.”

TD Cowen’s Krish Sankar asked the exact question that tries to determine thesis validity:

> *"Is this a multiyear volume and price commitment, or does the price get negotiated every year? Also, how to think about cancellation terms on the SCA in case the cycle slows down during the timeframe."*

Sanjay gave a pretty basic answer stating:

“We are not going to be getting into the specifics here of these agreements” and that “These are meant to go across periods when the industry is very tight versus other parts of the industry environment as well. That is why they are long-term agreements, and they have robust terms in them.”

If anyone reading this has an interpretation of that, be my guest. In the meantime, I don’t see this as *guaranteeing* similar growth and revenues for 4+ quarters. One thing I will say is that on a recent call with $LITE, the CEO mentioned that they need the stock price to stay up to “retain talent”. With that in mind, we should look through a similar lens with what management says, and understand it is in their best interest that the stock stays up for that reason, and they understand exactly what we are trying to do; interpret their language to know when to sell. Finally, a more bullish counter-signal: Trendforce noted yesterday that suppliers still seem to have the leverage.

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